consumption points when market supplies dwindle. If the government lacks this ability, the MSP system does not work. This is precisely what has happened.

Barring some parts of the country and for only a few crops, the government could not create the requisite system of procurement, storage and disposal. As a result, despite MSPs being declared for almost every agricultural crop (not horticulture and animal husbandry products), very few crops, other than wheat and rice, get procured under the MSP system. Some studies have estimated that only 6 per cent of agricultural produce gets sold at MSPs in India.

Subsidized Credits, Evergreening and Loan Write-Offs Have Led to No Real Working Capital or Investments

The government first provided cheaper credit to farmers for their crop loans through agriculture credit cooperative societies. However, as these societies delivered credit effectively only in a few states, the government roped in the nationalized banks and established a network of regional rural banks to channel the credit to farmers. Very soon, the interest cost also got taken care of by the Centre and the states. In many instances, even the principal loan was paid off by the government in what has come to be known as loan waivers or write-offs.

The total aggregate agriculture credit outstanding exceeds Rs 12 lakh crore. The bulk of this is for farming of crops. As value addition of crop cultivation is only about Rs 18 lakh crore, the credit to agriculture value addition exceeds more than two-thirds. These loans are largely short-term loans for working capital purposes. The repayment period for short-term loans runs into the next season of crops and most of the time to the next year’s crops. As a result, there is no change in month-to-month outstanding agriculture credit. Practically, agriculture loans are literally loans in perpetuity. These have been availed of and remain consumed or used up.